FALLEN EMPIRES

Scholly on Shark Tank: the deal sheet

How a scholarship app caused one of the loudest fights in Shark Tank history, closed its deal, and was later bought by Sallie Mae.

The deal

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| Episode | Shark Tank, season 6, episode 17 (aired February 20, 2015) |

| Founder | Christopher Gray (co-founders: Nicholas Pirollo, Bryson Alef) |

| Product | Scholly, an app that matches students to scholarships they qualify for |

| The ask | $40,000 for 15% (implied valuation: about $266,667) |

| Sharks | Lori Greiner offered the full ask within minutes; Daymond John joined her |

| Final deal | $40,000 for 15%, split 50/50: $20,000 each |

| Did it close? | Yes, the deal officially closed after the show |

| The fight | Mark Cuban wanted to ask questions first; Robert Herjavec said "We are not the Charity Tank"; Cuban, Herjavec and Kevin O'Leary walked off the set |

| Later | Scholly says its members won more than $100 million in scholarships |

| Exit | July 26, 2023: Sallie Mae acquired Scholly's key assets (app, scholarship administration tech, Scholly Offers). Price not disclosed ("not material"). The app was made free |

3 things that worked

1. **The founder was the proof.** Gray had won $1.3 million across 34 scholarships himself before building the app.

2. **A simple, emotional problem.** Paying for college is a pain almost every viewer understands in one sentence.
3. **The right partners.** The sharks who bought in cared about the mission and closed the deal after the show.

2 mistakes to avoid

1. **Unanswered questions.** Three sharks walked off because they never got to question the technology or the size of the database. Prepare for the hard questions.
2. **A small, copyable product.** The exit price was too small to disclose: a simple search tool is easy for a bigger player to absorb.

Glossary

- **Equity**: the share of the company an investor owns. Here, 15% for $40,000.
- **Valuation**: what the whole company is worth. $40,000 ÷ 15% ≈ $266,667.
- **Asset acquisition**: a buyer takes specific parts of a company (tech, IP, staff) instead of the whole company.

Sources

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- SlashGear: https://www.slashgear.com/1783511/what-happened-scholly-college-scholarship-app-shark-tank-season-6

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